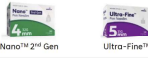


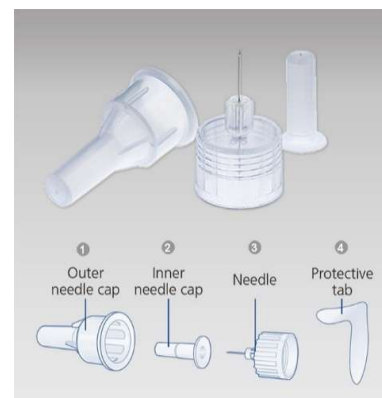
Summary Financials

	FY 2021	FY 2022	FY 2023	FY 2024	FY 2025	LTM	2026E
Revenues	1,165.3	1,129.5	1,120.8	1,123.1	1,080.4	1,042.5	1,025.0
% Growth	-	(3.1%)	(0.8%)	0.2%	(3.8%)	(3.5%)	(1.7%)
Adj. EBITDA	565.5	459.9	378.3	353.1	415.1	382.6	300.0
Acq. Adjustments	-	-	-	-	-	-	-
PF Adj. EBITDA	565.5	459.9	378.3	353.1	415.1	382.6	300.0
Capex	(36.8)	(23.6)	(26.5)	(15.8)	(9.3)	(8.8)	(8.8)
Cash Interest	-	(46.2)	(107.0)	(112.3)	(107.3)	(99.4)	(100.0)
Taxes	(80.1)	(33.0)	(35.3)	34.1	(40.9)	(57.7)	(45.2)
Change in NWC	(30.5)	91.9	(80.0)	(47.7)	(23.7)	0.2	0.2
Other CFO	1.4	(60.4)	(88.3)	(191.5)	(51.5)	(12.2)	(12.2)
FCF	419.5	388.6	41.2	19.9	182.4	204.7	134.0
Acquisitions, Net	(2.4)	(0.4)	-	-	-	10.1	-
Sale of Assets	-	-	-	-	-	-	-
Change in Debt	-	1,406.3	(9.5)	(34.6)	(184.6)	(199.8)	-
Equity Transactions, Net	(417.1)	(1,452.5)	(34.4)	(34.5)	(35.0)	(29.9)	(33.5)
Stock Buyback	-	-	-	-	-	-	-
Other CFF	-	(1.8)	(4.8)	(4.3)	(7.1)	(7.6)	(5.1)
Change in Cash	-	340.2	(7.5)	(53.5)	(44.3)	(22.5)	95.4
FCF Yield	30.2%	28.0%	3.0%	1.4%	13.1%	14.7%	9.6%
Total Debt	-	1,643.8	1,638.5	1,608.4	1,430.3	1,357.7	1,357.7
Cash	-	330.9	326.5	267.5	225.5	184.9	184.9
Net Debt	-	1,312.9	1,312.0	1,340.9	1,204.8	1,172.8	1,172.8
Net Debt / EBITDA	-	2.9x	3.5x	3.8x	2.9x	3.1x	3.9x
Total Debt / EBITDA	-	3.6x	4.3x	4.6x	3.4x	3.5x	4.5x
EBITDA - Capex / Interest	-	9.4x	3.3x	3.0x	3.8x	3.8x	2.9x

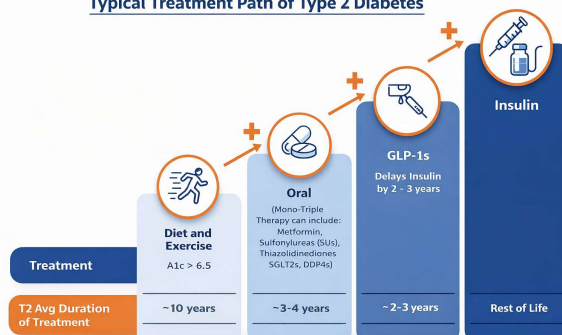
Business Overview

Embeca Corp. is a medical device company focused on diabetes care products used for insulin delivery and was spun off from Becton, Dickinson and Company ("BD") in April 2022 as an independent publicly traded entity. The company generates the majority of revenue from disposable insulin injection products, including pen needles (~75–80% of revenue), insulin syringes (~15–20%), and safety injection devices and other ancillary products (~5–10%). In 2024, management discontinued development of its insulin patch pump program following a strategic review, redirecting capital toward debt reduction and stabilization of the core franchise. Embecta manufactures approximately 8–9 billion units annually across a global manufacturing footprint and maintains ongoing supply agreements with BD for certain critical components, including cannulas. The company benefits from leading market positions in insulin injection devices, with market share exceeding 50% in several core geographies, supported by manufacturing scale and established distribution relationships. Products are primarily sold through pharmaceutical wholesalers and retail pharmacy channels under contractual pricing arrangements, with reimbursement determined through payor coverage frameworks in developed markets and predominantly cash-pay dynamics in emerging markets. Customer concentration reflects the industry's distribution structure, with McKesson, Cardinal Health, and Cencora collectively representing approximately 42% of revenue. Revenue is geographically diversified, with roughly 50–55% generated in the United States and the balance internationally. Demand for Embecta's products is largely non-discretionary and tied to insulin dependency rather than procedure volumes, supporting relatively stable unit demand and cash flow visibility, although the business remains exposed to pricing pressure, reimbursement dynamics, and supplier reliance stemming from the BD separation. In March 2026, Embecta announced a pending ~\$190M (£150M) acquisition of UK-based Owen Mumford anchored by the Aidaptus auto-injector platform, extending the franchise into adjacent drug-delivery markets beyond insulin consumables. The deal is expected to close in FY26 Q3 and marks a capital allocation pivot from pure deleveraging toward M&A, with the committed revolver draw occurring against a materially weaker FY26 earnings backdrop than at announcement.

	Pen Needles	Safety Pen Needles and Safety Insulin Syringes	Insulin Syringes
Position	#1 globally	#1 globally	#1 globally
Global Product Share ⁽¹⁾	~50%	~60%	~40%
Key Channel / Geographies	Retail pharmacy and hospital USA, China, Germany	Hospital and long-term care USA, Canada, France	Retail pharmacy USA, Mexico, India
Product	 Nano™ 2nd Gen Ultra-Fine™	 AutoShield Duo™ Safety Insulin syringes	 Ultra-Fine™
Manufacturing site	Dún Laoghaire (Ireland) Suzhou (China)	Dún Laoghaire (Ireland) Holdrege, NE (USA)	Holdrege, NE (USA)



Typical Treatment Path of Type 2 Diabetes



Investment Risks and Strengths

Investment Strengths

- Scaled consumables franchise serving insulin-dependent patients with recurring reimbursed demand
- Leading global pen needle platform (~50% share) supported by manufacturing scale and wholesaler relationships
- Repeatable FCF generation (~\$200M LTM) with low capital intensity
- Adequate liquidity (~\$685M total) with revolver undrawn at valuation date
- No material maturities until 2029, providing multi-year runway ahead of refinancing window
- Covenant test springing on revolver only and not in effect while revolver undrawn
- Recovery in undrawn scenario remains constructive with 1L money-good in majority of moderate stress cases
- Low near-term default probability given cash cushion, FCF generation, and clear maturity profile

Investment Risks

- Developed-market pen needle volumes in multi-year decline with Q2 results indicating compression accelerating beyond original underwriting
- Multi-year GLP-1 headwind delaying Type 2 insulin initiation across 5–10+ year horizon, with pen tip participation insufficient to offset core margin compression
- Revised guidance implies FY26 EBITDA materially below LTM, 2H'26 implied margins worse than Q2 actual, and deleveraging trajectory inverted
- Owen Mumford close activates springing 4.75x net 1L covenant, with FY26E headroom materially tighter and moderate bear case approaching threshold
- 1L faces meaningful impairment at typical 5.0x multiple in central FY26E EBITDA scenario once revolver drawn
- Drawn-revolver scenario eliminates the principal-safe floor implied by the undrawn case
- Owen Mumford proceeding into deterioration signals limited situational awareness or contractual inflexibility ahead of the 2029 refinancing
- McKesson, Cardinal, and Cencora represent ~42% of revenue, with declining volumes shifting pricing leverage to distributors
- Ongoing reliance on BD for cannulas and critical components post-spin
- Diversified medtech and pharma participants with vertical integration and stronger balance sheets
- TLB and notes have widened materially, with spreads now reflecting credit stress rather than rating-adjusted inadequacy
- 2029 TLB and 2030 notes refinancing will occur in materially deteriorated environment relative to original underwriting
- 6.75% notes (\$200M outstanding) constrain fund-level allocation to best relative-value instrument
- Return profile is recovery-driven rather than carry-driven at current prices, with limited multiple expansion absent stabilization

Term Sheet Summary

Credit Facility

Borrower:	Embecta Corp.
Credit Facility:	\$500M RCF, \$950M 1L TL, \$500M 1L Secured Notes, \$200M 1L Secured Notes
Guarantors:	The borrowers + all of Embecta's material wholly-owned domestic restricted subsidiaries
Issue Date:	3/31/2022
Maturity Date:	3/31/2029
Applicable Margin:	300
CSA:	-
Financial Covenants:	Max 4.75x Net First Lien Leverage Ratio for revolver (maintenance Covenant)
Floor:	0.50%
Term Loan Amortization:	1% per annum
Call Protection:	101 soft call for six month (expired 9/30/2022)

Industry Comps (\$mm)	Ticker	Price	YTD Price	Market Cap	Total Debt	Cash & Equivalents	Minority Interest	Enterprise Value	Revenue LTM	EBITDA LTM	EBITDA Margin	Net Debt /EBITDA	TEV/ EBITDA
Novo Nordisk A/S	NVO*	\$ 46.07	(12.1%)	158,450	20,595	4,240	-	174,805	46,786	24,189	51.7%	0.7x	7.2x
Terumo Corp	TRUMY	\$ 12.56	(13.7%)	18,620	2,552	1,519	-	19,653	7,321	1,740	23.8%	0.6x	11.3x
Median											23.8%	0.6x	11.3x

Embecta Corp	EMBC	\$ 3.64	(68.8%)	216	1,358	185	-	1,389	1,043	383	36.7%	3.1x	3.6x
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* Novo Nordisk (\$130B+ mkt cap, integrated diabetes franchise) included for reference but not comparable to \$~577M Embecta levered spinco. Median excludes NVO.

Debt Comps (\$mm)	Borrower	Facility Ratings	Maturity	Spread	Amount O/S	Market Price	Yield	EBITDA	Total Debt	Cash	Gross Leverage	Total Leverage
Organon	Organon & Co	Ba2/BB	5/17/2031	S+ 225bps	1,543	100.23%	5.84%	1,757	8,569	1,116	4.9x	4.2x
Elanco	Elanco Animal Health	Ba1/BB+	10/31/2032	S+ 175bps	1,100	100.58%	5.32%	991	3,991	428	4.0x	3.6x
Select Medical	Select Medical Holdings	B1	12/3/2031	S+ 200bps	1,050	100.38%	5.58%	465	1,880	26	4.0x	4.0x
Average						100.39%	5.58%				4.3x	3.9x
Median						100.38%	5.58%				4.0x	4.0x

Embecta	Embecta Co	B+/B1	3/31/2029	S+ 300bps	642	84.45%	7.82%	382.6	1,358	185	3.5x	3.1x
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